

THE SESSION • POST-CLOSE READ

Two Tapes, One Session

The Dow led and the AI-hardware complex repriced, leaving the S&P 500 essentially unchanged and the two sleeves on opposite sides of the ledger. The Dividend Strategy added 0.87% and finished ahead of both DVY and SPY; the Growth Portfolio gave back 0.49% against IUSG.

S&P 500 ▲ 0.02%

NASDAQ ▼ 0.20%

DOW ▲ 0.51%

VIX 18.73

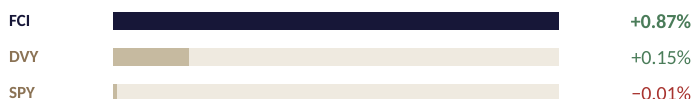
BRENT ▼ \$88

DIVIDEND STRATEGY

▲ BEAT DVY + SPY

+0.87%

1-DAY



YTD +20.54% vs DVY +17.47% · SPY +8.92%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-0.49%

1-DAY



YTD +14.73% vs IUSG +8.13%

THE SESSION

Monday delivered the rotation the weekend futures tape had only hinted at, and it delivered it in both directions at once. The Dow closed 0.51% higher at 52,209.69 and the Russell 2000 added 0.62%, while the Nasdaq gave back 0.20% and the S&P 500 finished at 7,413.43 — a 0.02% gain that concealed a wide dispersion beneath the surface. Brent settled 8.7% lower at \$88.36 as the mutual US–Iran strike pause held through the weekend, and the relief that flowed into industrials, staples and healthcare flowed straight back out of AI hardware. The Dividend Strategy added 0.87%, ahead of DVY at +0.15% and SPY at -0.01%. The Growth Portfolio closed -0.49% against IUSG's -0.29%.

The proximate cause was a single report. The Wall Street Journal wrote that Nvidia is in talks to guarantee roughly \$250 billion of financing tied to the lease and construction debt of a planned ten-gigawatt

OpenAI campus in southern Ohio, with separate discussions covering chip purchases of a similar magnitude; no agreement has been disclosed. The market read it as vendor financing at an unfamiliar scale, and the merchant-silicon cohort repriced accordingly — NVDA -4.99%, AMD -5.17%, MRVL -2.61%, CRDO -2.35%, TSM -1.07%. Chip equipment carried a second weight: China's ChangXin memory business completed an \$8.6 billion listing that opened sharply higher, sharpening the DRAM share question and leaving LRCX -4.46% two days ahead of its fiscal fourth-quarter report. The money did not leave the market. It moved next door, into software — ServiceNow closed +6.86%, extending its post-earnings advance — and into the cash-flow names the Dividend Strategy is built around.

*A portfolio built on ownership does not need every sleeve to work on the same day.
It needs every holding to be worth owning on all of them — which is a different,
and far more answerable, question.*

What the session did not resolve is the week itself. The FOMC decides Wednesday with consensus at a hold, June PCE prints Thursday, and the Big Tech sequence — Microsoft and Meta Wednesday, Apple and Amazon Thursday — will speak directly to the capital-spending question the tape spent today arguing about. Within the portfolio, S&P Global reports before Tuesday's open, General Dynamics and Lam Research Wednesday, and AMD on August 4. The energy sleeve absorbed the crude reversal in stride: OKE -3.97%, CVX -2.46%, CNX

-1.57% — the mirror image of the premium those holdings collected on the way up, and the reason we own producers rather than the barrel. Digital assets went the other way, with ether trading near \$1,960 on a third consecutive week of net inflows into US spot ether funds; ETHA closed +4.77% and IBIT +1.16% with bitcoin at \$64,976. Six sessions of catalysts remain before this month closes, and none of them changes what any of these businesses earn.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

NOW +6.86%

GROWTH

Extended its post-earnings advance as capital rotated out of AI hardware and into enterprise software.

ATAT +5.01%

GROWTH

Advanced with the broader Asia risk-on tape; no company-specific disclosure accompanied the move.

SYF +3.31%

GROWTH

Continued to work back from its year-to-date decline after a second-quarter beat and raised full-year guidance.

SPGI +3.15%

DIVIDEND

Firm across the financial-data and index complex ahead of Tuesday's pre-market second-quarter release.

GPC +2.81%

DIVIDEND

Extended the re-rating that has followed its second-quarter beat and the pending separation of the automotive business.

TEL +2.29%

DIVIDEND

Industrial connectivity found a bid as the value rotation broadened past staples and healthcare.

DECLINERS

AMD -5.17%

GROWTH

Repriced with the merchant-silicon cohort even as Wedbush lifted its target to \$600 from \$450 ahead of the August 4 print.

NVDA -4.99%

GROWTH

The reported \$250 billion OpenAI financing backstop revived the circular-financing debate around AI capital spending.

HUT -4.91%

GROWTH

Miners eased with bitcoin near \$65,000 and the AI-adjacent compute cohort under pressure.

LRCX -4.46%

DIVIDEND

Wafer-fab equipment softened on China's ChangXin memory listing; fiscal fourth-quarter results land Wednesday.

OKE -3.97%

GROWTH

Midstream followed Brent's 8.7% settle lower as the strike pause held into a third day.

VST -3.86%

GROWTH

The independent-power complex traded lower on the AI capital-spending question; results are scheduled for August 7.

HOLDINGS NEWS

ServiceNow answered the pricing question directly. Second-quarter revenue of \$3.99 billion cleared consensus near \$3.93 billion, adjusted earnings came in at \$0.90 against \$0.86 expected, and subscription revenue grew 24.5% year over year to \$3.88 billion. The line that mattered most for the multiple was operational: management dis-

closed that roughly half of net new business is now priced on something other than a per-seat basis — a direct response to the concern that agentic AI erodes seat-based software economics. The stock has now recovered a meaningful portion of its year-to-date decline.

Nvidia reopened the financing question at a larger scale. The reported structure would have Nvidia guarantee lease and construction debt for a campus being developed by SoftBank’s energy subsidiary, with an initial phase of roughly 800 megawatts targeted for 2028, and would help OpenAI secure terms it could not command on its own

credit. Negotiations are described as ongoing and terms may change. For owners of the semiconductor sleeve, the relevant question is not the headline number but whether demand that requires the supplier’s balance sheet to underwrite it should be capitalized at the same multiple as demand that does not.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+20.54%

vs DVY +17.47% / SPY +8.92%

GROWTH PORTFOLIO

+14.73%

vs IUSG +8.13%